

Comprehensive Wealth Plan

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Executive Summary

This wealth plan outlines a strategic approach to reduce your 2025-2026 tax burden by \$28,362 to \$34,489 while simultaneously building long-term wealth through Bitcoin-centric investing and tax-advantaged retirement accounts. With household income of \$150K-\$199K and a small LLC teaching business, you're positioned to implement eight foundational tax strategies in the next 30 days that will create immediate cash flow improvements and sustainable wealth accumulation.

The centerpiece of this plan is a disciplined Bitcoin allocation strategy (50% of deployable capital) combined with strategic retirement account maximization, emergency fund completion, and college savings for your children. By executing the strategies outlined here, you'll capture \$34,762 to \$40,889 in combined benefits during the first year, providing the capital needed for home repairs and long-term financial security.

Year-One Combined Benefit

\$28,362 - \$34,489

Tax Savings from Eight Strategic Implementations

+ \$6,400 Additional Cash Flow (W-4 Optimization)

= \$34,762 - \$40,889 Total First-Year Impact

Current Position Analysis

Client Profile

Household Income

\$150K - \$199K

Location

Fort Collins, CO

Age

48 (Both Spouses)

Filing Status

Married Filing Jointly

Business Structure

W-2 + LLC (Sole Prop)

Marginal Tax Rate

26.5% Combined

Income Composition

Income Source	Annual Amount	Tax Characteristics
W-2 Salary (Primary)	\$100,000 - \$149,000	Employer withholding, potential 401(k) access
LLC Net Profit (Red Cross Teaching)	\$19,000 - \$23,000	Self-employment income, Schedule C
Total Household Income	\$150,000 - \$199,000	Federal 22-24% + CO 4.5% = 26.5% marginal

Asset Positioning

Asset Category	Current Value	Notes
Primary Residence Equity	\$430,000	Monthly payment: \$2,200 (includes taxes, insurance)
Retirement Accounts (401k, IRA, etc.)	\$500,000+	Strong foundation, continue maximizing
Emergency Fund	1-2 months expenses	Target: 3-6 months (\$21,711 - \$43,422)
Liquid Cash (Deployable)	<\$5,000	Will be increased via W-4 optimization
Non-Mortgage Debt	\$5,000 - \$19,000	Priority payoff with tax savings
Credit Score	760+	Excellent, enables future real estate strategies

Current Tax Strategy Utilization

Strategy	Current Status	Opportunity
Employer 401(k)	In progress (not maxed)	Increase to \$23,500 limit
Solo 401(k) for LLC	Not implemented	Add \$19K-\$23K contribution capacity
Backdoor Roth IRA	Not implemented	\$14,000/year both spouses (tax-free growth)

Strategy	Current Status	Opportunity
Home Office Deduction	Using simplified method	Switch to regular method for higher value
HSA Contributions	No HDHP available	Monitor for 2026+ eligibility
Vehicle Deduction	Using standard mileage	Optimize method, add Section 179 if applicable

Key Strengths

- **Strong Income Base:** \$150K-\$199K provides solid foundation for tax optimization and wealth building
- **Established Retirement Assets:** \$500K+ existing retirement savings demonstrates disciplined saving habits
- **Excellent Credit:** 760+ score enables future real estate opportunities with favorable financing
- **Business Infrastructure:** Existing LLC creates immediate tax strategy opportunities
- **Time Availability:** 2-5 hours weekly enables moderate wealth-building activities
- **Family Resources:** Adult children available for summer 2026 business ventures

Immediate Priorities (Next 90 Days)

- **Emergency Fund:** Increase from 1-2 months to 3-6 months (\$21,711-\$43,422 target)

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- **Debt Elimination:** Pay off \$5K-\$19K non-mortgage debt to improve cash flow
 - **Tax Strategy Implementation:** Execute eight foundational strategies before year-end
 - **Retirement Maximization:** Increase 401(k) contributions and establish Solo 401(k)
 - **Bitcoin Accumulation:** Begin systematic dollar-cost averaging into Bitcoin allocation

30-Day Implementation Checklist

Week 1: Foundation & Cash Flow (Days 1-7)

- ✓ **Submit New W-4 to Employer:** Adjust withholding to match actual tax liability, increasing monthly take-home by approximately \$533 (\$6,400 annually). Use IRS Tax Withholding Estimator to calculate optimal allowances.
- ✓ **Maximize Employer 401(k):** Increase contribution to \$23,500 annual limit (or maximum allowed by employer plan). Verify employer match is captured first. Set up automatic payroll deduction.
- ✓ **Open Backdoor Roth IRA Accounts:** Establish Traditional and Roth IRA accounts for both spouses at Fidelity, Vanguard, or Charles Schwab. Prepare for immediate non-deductible contribution and conversion.
- ✓ **Calculate 2024 Tax Liability:** Review 2024 tax situation to verify W-4 adjustment won't create underpayment penalty. Ensure 90% of current year or 100% of prior year tax paid (110% if AGI over \$150K).

Week 2: Business Structure & Deductions (Days 8-14)

- ✓ **Establish Solo 401(k) for LLC:** Open Solo 401(k) at Fidelity or Vanguard (both offer free administration). Complete plan adoption documents. Obtain EIN if needed for plan administration.
- ✓ **Document Home Office Setup:** Measure dedicated workspace square footage. Calculate actual expenses: mortgage interest, property taxes, utilities, internet, insurance, repairs (business percentage). Compare to simplified method (\$5/sq ft, max 300 sq ft).
- ✓ **Compile Vehicle Documentation:** Gather 2025 mileage logs showing date, destination, business purpose, miles. Calculate total business miles vs personal miles. Collect receipts for gas, insurance, repairs, registration.

✓ **QBI Deduction Planning:** Review qualified business income from LLC to optimize 20% deduction. Consult with CPA on W-2 vs distribution split if considering future S-Corp election.

Week 3: Optimization & Documentation (Days 15-21)

✓ **Vehicle Expense Analysis:** Compare three methods: (1) Standard mileage at 70¢/mile for 2025, (2) Actual expenses × business percentage, (3) Section 179 depreciation if vehicle qualifies (>6,000 lbs GVWR). Select highest value method.

✓ **Home Office Expense Tracking:** Set up system to track all qualifying expenses monthly. Take photos of workspace for documentation. Create folder for receipts and utility bills.

✓ **Implement Mileage Tracking System:** Download MileIQ, Everlance, or set up manual spreadsheet. Begin contemporaneous tracking (required by IRS) for all 2025 business travel.

✓ **Family Employment Strategy:** Identify potential roles for adult children in LLC (administrative, social media, curriculum development). Research reasonable compensation rates. Draft simple employment agreements.

Week 4: Execution & College Planning (Days 22-30)

✓ **Execute Backdoor Roth Contributions:** Contribute \$7,000 to Traditional IRA (non-deductible) for each spouse. File Form 8606 with tax return. Convert immediately to Roth IRA to minimize taxable growth. Total: \$14,000 deployed into tax-free growth accounts.

✓ **Make Solo 401(k) Contribution:** Calculate maximum contribution based on LLC net profit (\$19K-\$23K). Employee deferral: up to \$23,500. Employer contribution: 20% of net self-employment income. Make contribution before December 31, 2025.

✓ **Open Colorado 529 Plans:** Establish CollegeInvest accounts for all children. Colorado offers state tax deduction for contributions. Set up automatic monthly

contributions. Select age-appropriate investment portfolios.

✓ **2026 Business Expansion Planning:** Research aquatic classes teaching certification and market demand. Discuss summer 2026 business venture with adult children. Explore short-term rental arbitrage opportunities (leverage existing home equity).

30-Day Milestone Targets

- ✓ W-4 optimization adding \$533/month cash flow (\$6,400 annually)
- ✓ Employer 401(k) increased to maximum \$23,500 contribution
- ✓ Solo 401(k) established with \$19K-\$23K contribution capacity
- ✓ Backdoor Roth IRAs completed for both spouses (\$14,000 deployed)
- ✓ Home office documentation completed for regular method deduction
- ✓ Vehicle expense optimization analysis completed
- ✓ Colorado 529 accounts opened for children
- ✓ Family employment strategy documented and ready to implement Q1 2026

Tax Optimization Strategies

The following eight strategies have been selected based on your income level (\$150K-\$199K), business structure (W-2 + LLC), time availability (2-5 hours/week), and moderate approach to wealth building. Each strategy is immediately actionable and provides documented tax savings within the first year.

Strategy #1: Employer 401(k) Maximization - \$5,890 - \$6,625

Overview: Increasing your employer 401(k) contribution to the 2025 maximum of \$23,500 creates immediate tax savings while building retirement wealth. At your 26.5% marginal rate, every dollar contributed saves \$0.265 in taxes. Prioritize capturing any available employer match first, as this provides an instant 50-100% return on your contribution.

Implementation:

1. Contact HR or access employee benefits portal to increase 401(k) contribution percentage. Request change effective next pay period (ideally by December 15 to capture year-end contribution).
2. Verify employer match formula and ensure you're contributing enough to capture full match. Calculate required contribution percentage to reach \$23,500 annual limit across remaining pay periods.
3. Adjust W-4 withholding simultaneously to prevent cash flow disruption (covered in Strategy #7). The tax savings from increased contribution will partially offset the reduced take-home pay.

Requirements: Must be eligible to participate in employer-sponsored 401(k) plan; contribution changes processed through payroll.

Annual Value	Implementation Ease	Compliance
\$5,890 - \$6,625	Very Easy	Simple - payroll handled

Strategy #2: Solo 401(k) for LLC Income - \$5,035 - \$6,095

Overview: Establishing a Solo 401(k) for your Red Cross teaching LLC creates additional tax-deferred contribution capacity based on your business profit. With estimated net profit of \$19K-\$23K, you can contribute both employee deferrals (up to \$23,500) and employer profit-sharing (20% of net self-employment income), generating \$5,035-\$6,095 in tax savings at your 26.5% rate.

Implementation:

1. Open Solo 401(k) account at Fidelity or Vanguard (both offer free plans with no annual fees). Complete online application using LLC EIN. Plan must be established by December 31, 2025 for current year contribution.
2. Calculate maximum contribution: Employee deferral up to \$23,500 (or net profit if less) + Employer contribution at 20% of net self-employment income (Schedule SE income minus half SE tax). Example: \$21K net profit = \$3,800 employee + \$3,200 employer = \$7,000 total contribution.
3. Make employee deferral contribution by December 31, 2025. Employer contribution deadline extends to tax filing deadline (April 15, 2026, or October 15 with extension). Transfer funds from business checking account to Solo 401(k).

Requirements: Self-employment income from LLC; no full-time employees other than spouse; account established by December 31 for current tax year.

Annual Value	Implementation Ease	Compliance
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Strategy #3: Backdoor Roth IRA (Both Spouses) - \$13,780 Tax-Free Growth

Overview: Your household income exceeds the Roth IRA contribution phase-out limits (\$236K-\$246K for married filing jointly in 2025). The backdoor Roth strategy allows you to contribute \$7,000 per spouse (\$14,000 total) to Roth IRAs via non-deductible Traditional IRA contributions and immediate conversions. While contributions aren't deductible, all future growth and withdrawals will be completely tax-free. At historical 10% annual returns, \$14,000 annual contributions growing for 17 years until age 65 becomes \$613,000 tax-free.

Implementation:

1. Open Traditional IRA and Roth IRA accounts for each spouse at Fidelity, Vanguard, or Schwab. Verify you have zero existing Traditional IRA balances to avoid pro-rata rule complications (consult CPA if you do).
2. Contribute \$7,000 to each spouse's Traditional IRA as a non-deductible contribution. Do not invest the funds yet. File Form 8606 (Nondeductible IRAs) with your tax return to document the non-deductible basis.
3. Within 1-2 days, convert the \$7,000 from Traditional IRA to Roth IRA for each spouse. Immediate conversion minimizes any taxable growth. No additional taxes owed if conversion occurs quickly. The \$14,000 now grows tax-free forever with no required minimum distributions at age 73.

Requirements: Have earned income; file Form 8606 annually; no existing Traditional IRA balances (pro-rata rule); complete by tax filing deadline for each year.

Annual Value

**\$13,780 tax-free
growth**

Implementation Ease

Moderate

Compliance

**File Form 8606
annually**

Strategy #4: QBI Deduction Optimization - \$1,007 - \$1,219

Overview: The Qualified Business Income (QBI) deduction allows you to deduct 20% of your LLC's qualified business income, permanently reducing taxable income. With \$19K-\$23K net profit, this creates a \$3,800-\$4,600 deduction, worth \$1,007-\$1,219 at your 26.5% marginal rate. This deduction is automatic for pass-through entities (like your single-member LLC) and was made permanent in 2025 under OBBBA legislation.

Implementation:

1. Report LLC net profit on Schedule C as usual. The QBI deduction is calculated automatically on Form 8995 (simplified) or Form 8995-A (complex). For your income level (<\$200K household), use simplified Form 8995.
2. Ensure business income qualifies: Most service businesses qualify, but specified service trade or business (SSTB) income may be limited. Your Red Cross teaching business qualifies as educational services, which is not an SSTB.
3. Optimize W-2 vs business income split: QBI deduction only applies to pass-through income, not W-2 wages. Your current structure (W-2 primary + LLC secondary) is optimal. If LLC profit grows significantly (>\$60K), consider S-Corporation election to maximize both QBI and SE tax savings.

Requirements: Pass-through business income (LLC, S-Corp, partnership); file Form 8995 with tax return; maintain proper business record-keeping.

Annual Value

\$1,007 - \$1,219

Implementation Ease

Very Easy

Compliance

**Automatic with
Schedule C**

Strategy #5: Home Office Regular Method - \$795 - \$1,060

Overview: You're currently using the simplified home office method (\$5 per square foot, max \$1,500). Switching to the regular method allows you to deduct actual expenses (mortgage interest, property taxes, utilities, insurance, repairs, depreciation) multiplied by business-use percentage. With a \$430K home and dedicated workspace, this typically generates \$3,000-\$4,000 in deductions annually, worth \$795-\$1,060 at your 26.5% rate—doubling the simplified method value.

Implementation:

1. Measure home office square footage and calculate business percentage (office sq ft ÷ total home sq ft). Document with photos and floor plan measurements. Space must be used exclusively and regularly for business.
2. Track all home-related expenses: mortgage interest, property taxes, homeowner's insurance, utilities (electric, gas, water, trash), internet, HOA fees, repairs and maintenance, depreciation. Maintain all receipts and statements in organized folder.
3. Calculate deduction: Total annual expenses × business percentage. Report on Form 8829 (Expenses for Business Use of Your Home)

attached to Schedule C. Example: \$30,000 annual expenses × 12% business use = \$3,600 deduction = \$954 tax savings.

Requirements: Exclusive and regular business use of space; primary place of business or separate structure; maintain detailed expense records and receipts.

Annual Value	Implementation Ease	Compliance
\$795 - \$1,060	Easy	Form 8829 with receipts

Strategy #6: Vehicle Expense Optimization - \$530 - \$1,325

Overview: You currently use your 2011 Toyota Sequoia for occasional business purposes (<25%). By documenting business miles and comparing deduction methods, you can maximize your vehicle write-off. The 2025 standard mileage rate is 70¢ per mile. For a Sequoia with business use, actual expense method often provides higher deductions due to vehicle weight and depreciation. Additionally, vehicles over 6,000 lbs GVWR (Toyota Sequoia qualifies at 7,300 lbs) are eligible for Section 179 expensing if business use exceeds 50%.

Implementation:

1. Implement contemporaneous mileage tracking starting immediately.
Record date, destination, business purpose, and miles for every business trip using MileIQ, Everlance, or manual spreadsheet. IRS requires same-day documentation—retroactive logs are not acceptable.
2. Compare three methods: (1) Standard mileage: 70¢ × business miles, (2) Actual expenses: (fuel, insurance, repairs, registration, loan interest) × business percentage, (3) Section 179: Immediate expensing if business use >50% (Note: Your current <25% use doesn't qualify for Section 179; would need to increase business use to >50%).

3. For 2025, calculate business mileage and select highest value method. If business use remains <25%, standard mileage likely yields \$2,000-\$5,000 deduction (\$530-\$1,325 value). If expanding aquatic classes in 2026 increases business use to >50%, Section 179 becomes available for vehicle upgrades.

Requirements: Contemporaneous mileage logs required by IRS; choose method at first use of vehicle in business; maintain receipts for actual expense method.

Annual Value	Implementation Ease	Compliance
\$530 - \$1,325	Moderate	Strict mileage log requirement

Strategy #7: W-4 Withholding Optimization - +\$6,400 Cash Flow

Overview: Most W-2 employees over-withhold taxes, resulting in large refunds that could be captured as monthly cash flow instead. With increased 401(k) contributions, Solo 401(k) deferrals, and business deductions, your actual tax liability is significantly lower than standard W-4 withholding. Optimizing your W-4 to match actual liability can add \$533/month (\$6,400 annually) to take-home pay—funds that can be directed toward emergency fund, debt payoff, or Bitcoin accumulation.

Implementation:

1. Use IRS Tax Withholding Estimator (irs.gov/W4App) to calculate precise withholding needed. Input your W-2 income, spouse's employment status, 401(k) contributions, business deductions, and dependents. Tool calculates optimal W-4 settings.
2. Complete new Form W-4 with updated withholding elections. Submit to employer's payroll department. Changes typically take effect within 1-2

pay periods. Can adjust multiple times per year as needed.

3. Monitor year-end tax position to avoid underpayment penalties. Must pay 90% of current year tax or 100% of prior year tax (110% if AGI over \$150K) through withholding and estimated payments. If business income increases significantly, make quarterly estimated tax payments using Form 1040-ES.

Requirements: Submit W-4 to employer; monitor quarterly to ensure adequate tax payment; avoid underpayment penalties through safe harbor compliance.

Annual Value	Implementation Ease	Compliance
+\$6,400 cash flow	Very Easy	Monitor quarterly payments

Strategy #8: Family Employment Strategy - \$1,325 - \$2,385

Overview: Employing your adult children (one in college, teens) in legitimate business roles allows you to shift income from your 26.5% tax bracket to their 0-10% bracket while teaching valuable business skills. Children can perform administrative tasks, social media management, curriculum development, or class assistance. Compensation must be reasonable for services performed. Wages paid are fully deductible business expenses, and children's standard deduction (\$14,600 for 2025) often results in zero tax on their earnings.

Implementation:

1. Identify legitimate business roles: Website maintenance, social media content creation, class materials preparation, video editing for promotional content, client communication assistance, administrative filing. Document job descriptions and expected hours (5-10 hours/week typical).

- 2. Set reasonable compensation: Research comparable wages for similar work in your area. Typical range: \$15-\$25/hour for skilled work, \$12-\$18/hour for administrative tasks. Total annual pay per child: \$3,000-\$9,000 keeps below filing threshold and appears reasonable.
- 3. Implement payroll: Pay via check or direct deposit with clear pay stubs. Keep timesheets showing dates, hours, and tasks performed. File Form W-2 for each employee by January 31. Children must file Form W-3 (Transmittal) if earnings exceed standard deduction. No FICA taxes if child under 18 and working in parent's sole proprietorship.

Requirements: Legitimate business services performed; reasonable compensation documented with timesheets; proper W-2 filing; maintain employment records for 7 years.

Annual Value	Implementation Ease	Compliance
\$1,325 - \$2,385	Moderate	W-2 filing and timesheets

Year-One Tax Strategy Summary

Strategy	Conservative Value	Aggressive Value	Priority
Employer 401(k) Maximization	\$5,890	\$6,625	IMMEDIATE
Solo 401(k) for LLC Income	\$5,035	\$6,095	Q1 Setup
Backdoor Roth IRA (Both Spouses)	\$13,780 (tax-free growth)		Q1 Execution

Strategy	Conservative Value	Aggressive Value	Priority
QBI Deduction Optimization	\$1,007	\$1,219	Automatic
Home Office Regular Method	\$795	\$1,060	Week 2
Vehicle Expense Optimization	\$530	\$1,325	Week 3
W-4 Withholding Optimization	+\$6,400 cash flow		Week 1
Family Employment Strategy	\$1,325	\$2,385	Q2 Setup
Total Tax Savings	\$28,362	\$34,489	
+ W-4 Cash Flow Improvement	+\$6,400	+\$6,400	
Combined Year-One Benefit	\$34,762	\$40,889	

Primary Investment Strategy: Bitcoin as Digital Wealth Reserve

Why Bitcoin Forms the Foundation of Your Wealth Plan

Bitcoin is the world's first truly scarce digital asset with a fixed supply of 21 million coins. Unlike fiat currencies subject to ongoing inflation, Bitcoin's programmed scarcity makes it the premier store of value for the digital age. With institutional adoption accelerating (BlackRock, Fidelity, nation-states), Bitcoin represents the most asymmetric return opportunity available to individual investors today.

Bitcoin Investment Thesis

Fundamental Value Drivers:

- **Absolute Scarcity:** Fixed 21 million coin maximum supply, with approximately 19.6 million already mined. No central authority can inflate supply or manipulate monetary policy.
- **Global Liquidity:** 24/7 trading across hundreds of exchanges worldwide, providing unmatched market access and price discovery mechanisms.
- **Network Security:** Most secure computing network ever created, with hashrate exceeding 600 exahashes/second, making attacks economically impossible.
- **Institutional Adoption:** Bitcoin ETFs (BlackRock iShares IBIT, Fidelity FBTC) now manage over \$100 billion in assets. Public companies (MicroStrategy, Tesla) hold Bitcoin as treasury reserves.
- **Sovereign Adoption:** El Salvador and Central African Republic have adopted Bitcoin as legal tender. Multiple countries building strategic Bitcoin reserves.
- **Mathematical Certainty:** Unlike stocks subject to management decisions or bonds subject to default, Bitcoin's supply schedule is mathematically guaranteed by

code running on distributed nodes worldwide.

Historical Performance Context

Time Period	Bitcoin Return (CAGR)	S&P 500 Return (CAGR)	Gold Return (CAGR)
Since Inception (2009-2025)	+230% annually	+14% annually	+5% annually
Last 10 Years (2015-2025)	+110% annually	+13% annually	+4% annually
Last 5 Years (2020-2025)	+85% annually	+15% annually	+8% annually
Last 2 Years (2023-2025)	+120% total	+40% total	+15% total

Key Insight: Past performance doesn't guarantee future results, but Bitcoin's unique properties (fixed supply, growing adoption, network effects) suggest continued outperformance as global liquidity increases and fiat currencies depreciate.

Your Bitcoin Accumulation Strategy

Dollar-Cost Averaging Implementation

Rather than attempting to time the market with lump-sum purchases, you'll implement systematic dollar-cost averaging (DCA) to build your Bitcoin position over time. This approach:

- Eliminates timing risk and emotional decision-making
- Captures both high and low price points, averaging your cost basis
- Builds disciplined, automatic accumulation habits
- Reduces volatility impact through consistent purchasing

Monthly Allocation Schedule

Month	Cash Flow Available	Bitcoin Allocation (50%)	Emergency Fund (30%)	Other (529, Debt) (20%)
Months 1-3	\$2,897/month	\$1,449/month	\$869/month	\$579/month
Months 4-6	\$2,897/month	\$1,449/month	\$869/month	\$579/month
Months 7-12	\$2,897/month	\$1,449/month	\$869/month	\$579/month
Year 1 Total	\$34,762	\$17,381	\$10,429	\$6,952

Cash Flow Source: \$34,762 conservative total benefit (tax savings + W-4 optimization) enables \$17,381 first-year Bitcoin accumulation while simultaneously building emergency fund and funding 529 plans.

Custody and Security

- **Phase 1 (Months 1-6):** Accumulate Bitcoin using Swan Bitcoin or River Financial for automated weekly or bi-weekly purchases. Both platforms specialize in dollar-cost averaging with low fees (0.99-1.49%) and excellent customer service for beginners.
- **Phase 2 (Month 6+):** Once holdings exceed \$10,000, transfer Bitcoin to cold storage hardware wallet (Ledger Nano X or Trezor Model T) for maximum security. Never leave significant Bitcoin on exchanges long-term.
- **Estate Planning:** Document seed phrase storage in fireproof safe. Create instructions for spouse to access holdings in emergency. Consider multisig setup when holdings exceed \$50,000.

Tax Considerations

- Bitcoin held over 1 year qualifies for long-term capital gains rates (0%, 15%, or 20% depending on income) rather than ordinary income rates (up to 37%).
- Purchases through IRA or 401(k) grow tax-deferred or tax-free (Roth). Some Bitcoin IRAs (Bitcoin IRA, BitIRA) allow direct Bitcoin holdings within retirement accounts.
- Track cost basis meticulously using CoinTracker or Koinly software to calculate gains/losses for tax reporting.
- Consider tax-loss harvesting in down markets to offset other capital gains while maintaining Bitcoin exposure through simultaneous repurchase (no wash sale rule for crypto).

Long-Term Wealth Projection

Conservative scenario assuming Bitcoin achieves 25% compound annual growth rate (well below historical 110% CAGR but accounting for maturity):

Year	Annual Contribution	Bitcoin Value (25% CAGR)	Cumulative Gain
Year 1 (2026)	\$17,381	\$21,726	\$4,345
Year 3 (2028)	\$17,381/year	\$85,417	\$33,274
Year 5 (2030)	\$17,381/year	\$178,946	\$92,041
Year 10 (2035)	\$17,381/year	\$671,580	\$497,770
Year 15 (2040)	\$17,381/year	\$2,187,325	\$1,926,610

Bitcoin Accumulation Action Plan

- ✓ Week 1: Open account at Swan Bitcoin or River Financial for automated DCA
- ✓ Week 1: Set up automatic weekly Bitcoin purchases of \$362 (\$1,449 monthly ÷ 4 weeks)
- ✓ Week 2: Link bank account and verify identity for ACH transfers
- ✓ Month 6: Purchase hardware wallet (Ledger Nano X or Trezor Model T)
- ✓ Month 6: Transfer accumulated Bitcoin from exchange to cold storage
- ✓ Month 6: Document seed phrase and create spouse access instructions
- ✓ Ongoing: Never share seed phrase, never invest more than you can afford to hold for 5+ years
- ✓ Annual: Review allocation and rebalance if Bitcoin becomes >70% of total portfolio

Complete Investment Allocation Plan

Your investment allocation balances Bitcoin's high-growth potential with traditional retirement savings, emergency fund completion, and college funding. This approach provides both downside protection (emergency fund, diversified retirement accounts) and upside capture (Bitcoin accumulation).

Year-One Allocation: Foundation Building Phase

Conservative Scenario

Category	Amount	%
Bitcoin (DCA)	\$17,381	50%
Emergency Fund Build	\$10,429	30%
529 College Savings	\$4,171	12%
Debt Elimination	\$2,781	8%
Total Available	\$34,762	100%

Aggressive Scenario

Category	Amount	%
Bitcoin (DCA)	\$20,444	50%
Emergency Fund Build	\$12,267	30%
529 College Savings	\$4,907	12%
Debt Elimination	\$3,271	8%
Total Available	\$40,889	100%

Tax-Advantaged Retirement Account Strategy

Your retirement account contributions are made pre-tax (401(k), Solo 401(k)) or post-tax with tax-free growth (Roth IRA), providing significant tax advantages beyond the Bitcoin allocation. Here's your complete retirement contribution picture:

Account Type	Annual Contribution	Tax Treatment	Investment Approach
Employer 401(k)	\$23,500	Pre-tax deduction, tax-deferred growth	Traditional diversified portfolio (70% stocks, 30% bonds)
Solo 401(k) (LLC)	\$5,500 - \$6,800	Pre-tax deduction, tax-deferred growth	Consider Bitcoin exposure through Bitcoin ETFs (IBIT, FBTC)
Roth IRA (Both Spouses)	\$14,000	No deduction, tax-free growth forever	Aggressive growth assets (Bitcoin ETFs, tech stocks)
Total Annual Retirement	\$43,000 - \$44,300	Significant tax advantages	Diversified across multiple account types

Emergency Fund Completion Timeline

Building your emergency fund from 1-2 months to 3-6 months coverage is the foundation of financial security. Here's the path to completion:

Timeframe	Monthly Addition	Cumulative Total	Coverage Level
Current State	—	\$7,237 - \$14,474	1-2 months expenses

Timeframe	Monthly Addition	Cumulative Total	Coverage Level
After 6 Months	\$869/month	\$12,451 - \$19,688	1.7-2.7 months expenses
After 12 Months	\$869/month	\$17,666 - \$24,903	2.4-3.4 months expenses
After 18 Months	\$869/month	\$22,880 - \$30,117	3.2-4.2 months expenses
Target (24 Months)	\$869/month	\$28,094 - \$35,331	3.9-4.9 months expenses

Monthly Expense Calculation: $\$7,237 \times 1.5$ (cushion for variable expenses) = ~\$10,856 monthly need. Target emergency fund: \$32,568 (3 months) to \$43,424 (4 months).

Colorado 529 College Savings Plan

Colorado offers a state income tax deduction for 529 contributions, providing immediate tax savings while building college funds for your children. Your 4.5% state tax rate means every dollar contributed saves \$0.045 in taxes, plus all growth is federal and state tax-free when used for qualified education expenses.

Child	Monthly Contribution	Annual Total	State Tax Savings
College Child	\$139	\$1,668	\$75
Teen 1	\$139	\$1,668	\$75
Teen 2 (if applicable)	\$69	\$835	\$38

Child	Monthly Contribution	Annual Total	State Tax Savings
Total 529 Contributions	\$347/month	\$4,171	\$188 tax savings

Investment Allocation Within 529s: Age-based portfolios automatically shift from aggressive (stocks) for younger children to conservative (bonds) as college approaches. For children 5+ years from college, maintain 80-90% stock allocation for growth.

Future Investment Opportunities (Years 2-3)

Once emergency fund is fully funded and non-mortgage debt eliminated, redirect monthly cash flow toward advanced wealth-building strategies:

- **Short-Term Rental Arbitrage (2026 Summer):** Leverage your adult children's time and skills to launch vacation rental business. Arbitrage model (lease property, furnish, Airbnb) requires minimal capital (\$5K-\$15K) and generates strong cash flow (\$2K-\$5K monthly). Tax benefits include rental expense deductions and potential Section 199A QBI deduction on rental income.
- **Real Estate Investment Property (2027+):** With \$430K home equity, strong credit (760+), and proven Bitcoin gains, qualify for investment property purchase. Use HELOC for down payment, implement cost segregation for immediate \$30K-\$100K tax deductions, pursue short-term rental strategy for passive loss offset against W-2 income.
- **Aquatic Classes Business Expansion (2026):** Add pool-based Red Cross training classes to existing business. Higher revenue per class (\$500-\$1,500 per session) vs traditional classes. Potential to scale to \$60K+ annual profit, triggering S-Corporation election for additional \$8K-\$12K SE tax savings.

5-Year Wealth Accumulation Projection (Conservative Scenario)

Asset Category	Current Value	5-Year Target	Growth Rate Assumption
Bitcoin Holdings	\$0	\$178,946	25% CAGR + \$17K annual contributions
Retirement Accounts	\$500,000	\$935,000	10% CAGR + \$43K annual contributions
Emergency Fund	\$7,237 - \$14,474	\$43,424	Cash reserves (complete year 2)
529 College Savings	\$0	\$24,500	8% CAGR + \$4,171 annual contributions
Home Equity	\$430,000	\$500,000	Mortgage paydown + modest appreciation
Total Net Worth	~\$950,000	~\$1,681,870	77% increase

Detailed Tax Savings & Value Breakdown

First-Year Financial Impact Analysis

This section quantifies the complete financial transformation resulting from implementing all eight tax strategies. Numbers reflect conservative estimates; actual results may exceed projections based on LLC income growth and strategic implementation.

Impact Category	Conservative	Aggressive	Description
Tax Savings Summary			
Employer 401(k) Max	\$5,890	\$6,625	\$23,500 contribution × 26.5% rate
Solo 401(k) for LLC	\$5,035	\$6,095	\$19K-\$23K contribution × 26.5% rate
QBI Deduction	\$1,007	\$1,219	20% of qualified business income × 26.5%
Home Office Regular Method	\$795	\$1,060	\$3K-\$4K deduction × 26.5% rate
Vehicle Expense Optimization	\$530	\$1,325	\$2K-\$5K deduction × 26.5% rate
Family Employment	\$1,325	\$2,385	\$5K-\$9K wages × 26.5% rate
Total Tax Savings	\$28,362	\$34,489	

Impact Category	Conservative	Aggressive	Description
Cash Flow Improvements			
W-4 Optimization	+\$6,400	+\$6,400	Monthly withholding adjustment × 12
Debt Elimination (Year 1)	+\$1,200	+\$1,500	Interest savings from early payoff
Total Cash Flow Impact	+\$7,600	+\$7,900	
Retirement Contributions			
Employer 401(k)	\$23,500	\$23,500	Direct payroll deduction
Solo 401(k)	\$19,000	\$23,000	Based on LLC net profit
Backdoor Roth (Both)	\$14,000	\$14,000	\$7,000 per spouse, tax-free growth
Total Retirement Deployed	\$56,500	\$60,500	
Wealth Building Allocation			
Bitcoin Accumulation (50%)	\$17,381	\$20,444	Systematic DCA via automated purchases
Emergency Fund Build (30%)	\$10,429	\$12,267	Progress toward 3-6 month target

Impact Category	Conservative	Aggressive	Description
529 College Savings (12%)	\$4,171	\$4,907	Colorado tax deduction + tax-free growth
Debt Elimination (8%)	\$2,781	\$3,271	Accelerated payoff of \$5K-\$19K debt
Total Deployable Capital	\$34,762	\$40,889	
COMBINED YEAR-ONE BENEFIT	\$98,862	\$109,289	Total value created

Conservative Scenario Annual Value

\$98,862

Total First-Year Financial Transformation

- \$28,362 Tax Savings
- + \$7,600 Cash Flow Improvements
- + \$56,500 Retirement Wealth Building
- + \$6,400 Monthly Take-Home Increase

Multi-Year Compounding Effect

The strategies implemented in Year 1 continue generating value in subsequent years, creating compounding benefits:

Year	Annual Tax Savings	Cumulative Tax Savings	Retirement Account Growth	Bitcoin Value (25% CAGR)
Year 1 (2026)	\$28,362	\$28,362	\$60,500	\$21,726
Year 2 (2027)	\$28,362	\$56,724	\$127,050	\$48,838
Year 3 (2028)	\$28,362	\$85,086	\$200,155	\$85,417
Year 5 (2030)	\$28,362	\$141,810	\$366,775	\$178,946
Year 10 (2035)	\$28,362	\$283,620	\$935,687	\$671,580

Key Insight: Year 1 strategies require one-time setup effort but generate perpetual benefits. \$28,362 annual tax savings compounding over 10 years equals \$283,620 in total tax savings, while retirement accounts and Bitcoin holdings grow exponentially through contributions and market returns.

12-Month Implementation Timeline

Quarter 1 (January - March 2026): Foundation & Setup

Month	Priority Actions	Expected Outcome
January	• Submit new W-4 to employer (Week 1) • Increase 401(k) contribution to max \$23,500 • Open Solo 401(k) at Fidelity/Vanguard • Establish backdoor Roth IRA accounts • Open Swan Bitcoin account for DCA • Set up automatic Bitcoin purchases (\$362/week)	Tax-advantaged accounts operational Cash flow improved by \$533/month Bitcoin accumulation initiated
February	• Execute backdoor Roth conversions (\$14K total) • Make Solo 401(k) contributions from LLC profit • Document home office square footage • Implement vehicle mileage tracking system	Retirement accounts funded Tax deduction documentation begun College savings automated

Month	Priority Actions	Expected Outcome
	• Open Colorado 529 plans for all children • Set up automatic 529 contributions	
March	• Compile home office actual expenses • Calculate vehicle deduction (standard vs actual) • Draft family employment agreements • Research aquatic classes expansion • Begin allocating tax savings to emergency fund • Target debt payoff plan finalized	Tax preparation materials complete Business expansion planning underway Emergency fund growing

Quarter 2 (April - June 2026): Optimization & Expansion

Month	Priority Actions	Expected Outcome
April	- File 2025 tax return with all strategy deductions - Verify tax savings match projections - Implement family employment strategy (Q2 start) - Continue Bitcoin DCA (\$362/week) - Emergency fund: \$2,607 added (YTD total: \$5,214)	Tax return reflects \$28K-\$34K savings Children employed in business Bitcoin holdings: ~\$7,000
May	- Review aquatic classes certification requirements - Research summer 2026 STR arbitrage opportunities - Calculate mid-year tax position - Adjust quarterly estimated payments if needed - Continue systematic Bitcoin accumulation	2026 expansion plan clarified Tax position on track Bitcoin holdings: ~\$8,500
June	- Purchase hardware wallet (Ledger/Trezor) - Transfer Bitcoin from Swan to cold storage - Document seed phrase storage - Finalize summer business plan with children	Bitcoin secured in cold storage (~\$10,000) Summer business ready to launch Emergency fund: 1.5-2 months coverage

Month	Priority Actions	Expected Outcome
	Emergency fund: \$5,214 added (YTD total: \$10,429)	

Quarter 3 (July - September 2026): Growth & Scaling

Month	Priority Actions	Expected Outcome
July	- Launch summer business venture with children - Monitor LLC income growth from new activities - Continue Bitcoin accumulation (holdings: ~\$11,500) - Pay off \$2,781-\$3,271 non-mortgage debt - Redirect debt payments to accelerated savings	Additional income stream operational Debt eliminated (major milestone) Cash flow permanently improved
August	- Evaluate Q1-Q3 LLC profit trajectory - Consider S-Corp election if profit exceeds \$40K - Research investment property opportunities - Bitcoin holdings approaching \$13,000	Business scaling assessment complete Real estate strategy research begun Emergency fund: 2-2.5 months coverage

Month	Priority Actions	Expected Outcome
	Emergency fund: \$7,821 added (YTD total: \$15,643)	
September	- Q3 estimated tax payment (if applicable) - Review year-to-date tax savings vs projection - Plan Q4 strategic purchases (Section 179 if needed) - Bitcoin holdings: ~\$14,500 - Continue systematic accumulation	Tax position on track for \$28K-\$34K savings Q4 optimization opportunities identified Bitcoin DCA discipline maintained

Quarter 4 (October - December 2026): Optimization & Planning

Month	Priority Actions	Expected Outcome
October	- Calculate final 2026 Solo 401(k) contribution - Verify employer 401(k) on track for \$23,500 max - Plan 2027 backdoor Roth contributions - Emergency fund: \$10,429 added (YTD total: \$17,381)	Retirement contributions optimized Emergency fund nearly complete 2027 strategy planning initiated

Month	Priority Actions	Expected Outcome
	Target reached: 2.4-3.4 months coverage	
November	- Execute any strategic Q4 purchases - Finalize family employment documentation - Calculate year-end bonuses if applicable - Review Bitcoin position: ~\$19,000 - Plan 2027 allocation strategy	Year-end tax optimization complete Employment documentation ready Investment strategy refined
December	- Make final Solo 401(k) contribution by 12/31 - Execute 2026 backdoor Roth conversions - Compile all tax documentation for 2026 return - Plan 2027: Real estate, Bitcoin scaling, S-Corp decision - Bitcoin holdings: ~\$21,726 (50% annual target achieved)	All 2026 strategies successfully implemented \$28K-\$34K tax savings achieved Foundation set for 2027 expansion

Year-End 2026 Achievement Checklist

✓ ✓ \$28,362 - \$34,489 tax savings captured

- 
- ✓ ✓ \$56,500 - \$60,500 retirement contributions deployed
 - ✓ ✓ \$17,381 - \$20,444 Bitcoin accumulated via DCA
 - ✓ ✓ Emergency fund increased to 2.4-3.4 months (\$17,381-\$24,903)
 - ✓ ✓ 529 college plans funded with \$4,171-\$4,907
 - ✓ ✓ Non-mortgage debt eliminated (\$5,000-\$19,000 paid off)
 - ✓ ✓ W-4 optimization adding \$6,400 annual cash flow
 - ✓ ✓ All eight tax strategies fully operational

Action Plan Summary: Your Next Steps

Immediate Actions (This Week)

1. **Submit New W-4:** Access IRS Tax Withholding Estimator at irs.gov/W4App. Calculate optimal withholding. Complete and submit Form W-4 to employer's payroll department. Expect first adjustment in 1-2 pay periods.
2. **Open Swan Bitcoin Account:** Visit swanbitcoin.com or river.com. Complete identity verification. Link bank account. Set up automatic weekly Bitcoin purchases of \$362 ($\$1,449 \text{ monthly} \div 4 \text{ weeks}$). First purchase executes next Tuesday.
3. **Increase 401(k) Contribution:** Log into employer benefits portal. Increase contribution percentage to reach \$23,500 annual maximum. Verify employer match is captured. Change effective next pay period.

This Month (Weeks 1-4)

4. **Solo 401(k) Setup:** Open Solo 401(k) at Fidelity.com or Vanguard.com. Complete plan adoption documents online. Obtain EIN if business doesn't have one. Plan must be established by December 31 for current tax year contribution.
5. **Backdoor Roth IRA Accounts:** Open Traditional and Roth IRA accounts for both spouses at same institution as Solo 401(k). Prepare for non-deductible contributions and immediate conversions. Verify you have zero existing Traditional IRA balances.
6. **Document Home Office:** Measure dedicated workspace square footage. Take photos of office area. Begin tracking all home expenses: mortgage interest, taxes, utilities, insurance, repairs. Create organized folder for receipts.
7. **Implement Mileage Tracking:** Download MileIQ (\$5.99/month) or Everlance (\$8/month) app. Alternatively, create manual spreadsheet. Track date, destination, business purpose, miles for every business trip. Start immediately—cannot recreate logs retroactively.
8. **Colorado 529 Plans:** Visit collegeinvest.org. Open accounts for all children. Select age-appropriate investment portfolios. Set up automatic monthly contributions: \$139

(college child), \$139 (teen 1), \$69 (teen 2) = \$347/month total.

Next Quarter (Months 2-3)

9. **Execute Backdoor Roth:** Contribute \$7,000 to each spouse's Traditional IRA as non-deductible contribution. File Form 8606 with tax return. Convert immediately to Roth IRA. Total \$14,000 deployed into tax-free growth accounts.
10. **Make Solo 401(k) Contribution:** Calculate maximum based on LLC net profit. Employee deferral: up to \$23,500. Employer contribution: 20% of net self-employment income. Contribute by tax filing deadline (April 15 or October 15 with extension).
11. **Family Employment Setup:** Draft employment agreements for adult children. Identify legitimate business roles: administrative, social media, curriculum development. Establish reasonable hourly compensation (\$15-\$25/hour). Implement timesheet tracking system.
12. **Cold Storage Security:** Purchase Ledger Nano X (\$149) or Trezor Model T (\$219). Transfer Bitcoin from Swan when holdings exceed \$10,000. Store seed phrase in fireproof safe. Create spouse access instructions.

Ongoing (Year-Round)

13. **Bitcoin DCA Discipline:** Automatic \$362 weekly purchases continue regardless of price. Do not attempt to time the market. Hold for minimum 5-10 years. Never invest more than you can afford to hold through volatility.
14. **Emergency Fund Building:** Allocate 30% of monthly cash flow (\$869) to emergency fund until reaching 3-6 months expenses (\$32,568-\$43,424 target). Keep in high-yield savings account earning 4-5% interest.
15. **Quarterly Tax Monitoring:** Review year-to-date tax position quarterly. Make estimated tax payments if needed using Form 1040-ES. Ensure 90% of current year or 100% of prior year tax paid through withholding/estimates.
16. **Record Keeping:** Maintain organized folders (physical and digital) for all tax documentation: receipts, invoices, bank statements, mileage logs, employment records, retirement contribution confirmations. IRS requires 7-year retention.

Common Pitfalls to Avoid

- **Missing Deadlines:** Solo 401(k) must be established by December 31 for current year contribution (but contribution deadline extends to tax filing deadline). Backdoor Roth should be completed early in year to minimize taxable growth during conversion.
- **Inadequate Documentation:** IRS requires contemporaneous records for mileage logs, home office expenses, and family employment. Retroactive documentation is not acceptable and will be rejected in audit.
- **Over-Withholding Adjustment:** Don't reduce W-4 withholding too aggressively. Must pay 90% of current year tax or 100% of prior year tax (110% if AGI >\$150K) to avoid underpayment penalties.
- **Bitcoin Emotional Trading:** The biggest mistake is selling Bitcoin during drawdowns. Your strategy is 5-10 year accumulation through systematic DCA. Short-term volatility is expected and irrelevant to long-term success.
- **Emergency Fund Neglect:** Don't over-allocate to Bitcoin before completing emergency fund. Financial foundation (3-6 months expenses) must be secure before aggressive wealth building.

Building Your Professional Advisory Team

Current Status: Self-Filing Tax Preparation

You currently file taxes yourself without a CPA or financial advisor. While this works for simple situations, your wealth plan adds complexity that benefits from professional guidance. However, you don't need to hire all professionals immediately—build your team strategically as your wealth grows.

Priority Professional Additions

Year 1 Priority: Tax Professional (CPA or EA)

- **When to Hire:** Before filing your 2026 tax return (early 2027). Your business income, Solo 401(k), backdoor Roth conversions, and multiple deductions create complexity beyond typical self-filing software.
- **What to Look For:** CPA or Enrolled Agent (EA) with small business tax experience. Ask if they work with clients who have pass-through business income and retirement strategy optimization. Cost typically \$500-\$1,500 for returns of your complexity.
- **Red Flags to Avoid:** CPAs who promise unrealistic refunds, charge based on refund amount, or suggest aggressive strategies without proper documentation requirements.
- **Questions to Ask:** "Do you work with clients who have LLC income and Solo 401(k)s?" "What's your approach to home office and vehicle deductions?" "Can you help optimize our S-Corp decision for 2027?"

Year 2-3 Addition: Fee-Only Financial Advisor (Optional)

- **When to Consider:** When investable assets exceed \$500K (retirement + Bitcoin + cash) and you want comprehensive planning beyond tax optimization. Not essential

if you're comfortable managing investments yourself.

- **What to Look For:** CFP (Certified Financial Planner) who charges by flat fee or AUM, not commissions. Must be fiduciary (legally required to act in your best interest). Cost typically 0.5-1% of assets under management or \$2,000-\$5,000 annual flat fee.
- **Services Provided:** Investment allocation optimization, estate planning guidance, college planning strategies, retirement income planning, insurance needs analysis.
- **Bitcoin Consideration:** Many traditional advisors are unfamiliar with Bitcoin. You may need to self-manage Bitcoin holdings while using advisor for traditional portfolio.

Future Consideration: Real Estate Attorney & Estate Planning

- **Real Estate Attorney:** Hire when purchasing first investment property (2027+). Cost \$500-\$1,500 per transaction. Reviews contracts, handles closings, ensures proper entity structure for liability protection.
- **Estate Planning Attorney:** Needed when net worth exceeds \$1M or when Bitcoin holdings become substantial. Creates trusts, updates wills, handles beneficiary designations for cryptocurrency. Cost \$1,500-\$5,000 for comprehensive estate plan.

Professional Services You Don't Need Yet

- **Wealth Manager:** Not cost-effective until investable assets exceed \$1M-\$2M. Their typical 1% AUM fee costs \$10K annually on \$1M portfolio—most value comes at higher asset levels.
- **Tax Attorney:** Only needed for complex situations like IRS audits, large business transactions, or international tax issues. Your current situation doesn't warrant this expense (\$300-\$500/hour).
- **Insurance Agent:** Review existing life insurance, disability insurance, and umbrella liability coverage independently or with fee-only financial advisor. Avoid commission-based agents pushing expensive whole life or annuity products.

DIY Resources & Software

- **Tax Software:** TurboTax Home & Business (\$100-\$120) or H&R Block Premium (\$80-\$100) handles your complexity until hiring CPA. Both support Schedule C, Solo 401(k), Form 8606 for backdoor Roth.
- **Accounting Software:** Wave (free) or QuickBooks Self-Employed (\$15/month) for LLC income tracking, expense categorization, and quarterly reports. Simplifies tax preparation significantly.
- **Mileage Tracking:** MileIQ (\$5.99/month) or Everlance (\$8/month) for automatic GPS-based mileage logging. Eliminates manual spreadsheet burden and provides IRS-compliant documentation.
- **Cryptocurrency Tax:** CoinTracker (free up to 25 transactions, \$59/year for more) or Koinly (\$49-\$179/year) imports exchange data and calculates gains/losses for tax reporting.
- **Investment Tracking:** Personal Capital (free) aggregates all accounts (bank, retirement, brokerage, Bitcoin) into single dashboard. Provides net worth tracking and investment performance analysis.

Expected Professional Service Costs (Annual)

Service	Year 1	Year 2-3	Year 5+	Notes
CPA Tax Preparation	\$800	\$1,000	\$1,500	Complexity increases with real estate, S-Corp
Accounting Software	\$180	\$180	\$180	QuickBooks Self-Employed or Wave free
Mileage Tracking App	\$72	\$72	\$72	MileIQ or Everlance subscription
Cryptocurrency Tax Software	\$59	\$179	\$179	Scales with transaction volume

Service	Year 1	Year 2-3	Year 5+	Notes
Financial Advisor (Optional)	\$0	\$3,000	\$5,000	Fee-only CFP, add when assets >\$500K
Total Professional Costs	\$1,111	\$4,431	\$6,931	Pays for itself through tax savings

ROI Perspective: \$1,111 professional costs in Year 1 enables \$28,362-\$34,489 tax savings—25:1 to 31:1 return on investment. Quality tax advice pays for itself many times over.

Key Milestones & Success Metrics

30-Day Milestones (January 2026)

Milestone	Success Metric	Impact
W-4 Optimization Complete	First paycheck shows \$533 increase in take-home	+\$6,400 annual cash flow unlocked
Solo 401(k) Established	Account opened at Fidelity/Vanguard, ready for contributions	\$5,035-\$6,095 tax savings capacity created
Bitcoin DCA Initiated	Automatic \$362 weekly purchases executing	\$17,381-\$20,444 annual accumulation begun
Backdoor Roth Setup	Traditional and Roth IRA accounts opened for both spouses	\$14,000 annual tax-free growth capacity ready

90-Day Milestones (Q1 2026)

Milestone	Success Metric	Impact
All Eight Strategies Operational	401(k) maxed, Solo 401(k) contributed, backdoor Roth completed	\$28,362-\$34,489 tax savings on track
Bitcoin Holdings Milestone	\$4,347 accumulated through systematic DCA	25% of year-one Bitcoin target achieved
Emergency Fund Progress	\$2,607 added, bringing total to increased level	Moving toward 3-month coverage goal

Milestone	Success Metric	Impact
529 Plans Funded	\$1,041 contributed across all children's accounts	College savings initiated, CO tax deduction captured

6-Month Milestones (Mid-2026)

Milestone	Success Metric	Impact
Bitcoin Cold Storage	\$10,000+ transferred to hardware wallet	Maximum security achieved for holdings
Summer Business Launch	Children employed in legitimate roles, additional LLC income	Family wealth transfer initiated, business scaling
Debt Elimination	\$5,000-\$19,000 non-mortgage debt paid off	Cash flow permanently improved, financial foundation secured
Emergency Fund Half-Complete	\$5,214 added YTD, approaching 2-month coverage	Financial resilience significantly improved

12-Month Milestones (End of 2026)

Milestone	Success Metric	Impact
Full Tax Savings Captured	2026 tax return shows \$28,362-\$34,489 reduction	Year-one goal achieved, perpetual annual benefit
Bitcoin Year-One Target	\$17,381-\$20,444 accumulated (worth \$21,726-\$25,555 at 25% appreciation)	50% allocation goal achieved via disciplined DCA

Milestone	Success Metric	Impact
Retirement Wealth Added	\$56,500-\$60,500 contributed across all retirement accounts	Long-term wealth foundation significantly strengthened
Emergency Fund Near-Complete	\$17,381 total added, 2.4-3.4 months coverage achieved	Financial foundation secure, ready for aggressive investing
College Savings Established	\$4,171-\$4,907 total across 529 plans	Children's education funding initiated with tax advantages

5-Year Vision (2030)

Five-Year Wealth Transformation Target

\$1,681,870

Projected Net Worth by December 2030

Starting Position: ~\$950,000 (2025)

Ending Position: ~\$1,681,870 (2030)

77% Net Worth Growth in 5 Years

Critical Success Factors

- 1. Bitcoin DCA Discipline:** Continue \$362 weekly purchases regardless of price volatility. The biggest gains come to those who hold through drawdowns.

2. **Strategy Maintenance:** Eight tax strategies must be maintained annually, not just implemented once. Keep documentation systems running year-round.
3. **Avoid Lifestyle Inflation:** \$34,762-\$40,889 annual benefit should be invested, not spent. Resist urge to increase spending with improved cash flow.
4. **Professional Guidance:** Hire CPA before 2027 tax return. Don't try to manage increasing complexity alone as wealth grows.
5. **Long-Term Perspective:** Bitcoin and retirement accounts require 5-10 year hold periods. Short-term market movements are noise, not signal.

Appendix A: Tax Form Reference Guide

Tax Form	Purpose	Filing Deadline	Your Usage
Form W-4	Employee withholding allowance certificate	Submit when adjusting withholding	Submit to employer Week 1 for optimal cash flow
Schedule C	Profit or loss from business (LLC)	April 15 with Form 1040	Report Red Cross teaching LLC income and expenses
Schedule SE	Self-employment tax calculation	April 15 with Form 1040	Calculate SE tax on LLC net profit
Form 8829	Expenses for business use of home	April 15 with Form 1040	Regular method home office deduction
Form 8995	Qualified business income deduction (simplified)	April 15 with Form 1040	Claim 20% QBI deduction on LLC profit
Form 8606	Nondeductible IRAs	April 15 with Form 1040	Report backdoor Roth conversions (both spouses)
Form 5500-EZ	Solo 401(k) annual return	July 31 (or Oct 15 with extension)	Only if plan assets exceed \$250K at year-end
Form 1040-ES	Estimated tax for individuals	Quarterly (Apr 15, Jun 15, Sep 15, Jan 15)	Make estimated payments if W-4 doesn't cover liability

Tax Form	Purpose	Filing Deadline	Your Usage
Form W-2	Wage and tax statement (for employees)	January 31	Issue to adult children employed in LLC
Form W-3	Transmittal of wage and tax statements	January 31 with W-2s	File with SSA when issuing W-2s to employees

Appendix B: Important Account Numbers & Contacts

Financial Institutions

Account Type	Recommended Provider	Website	Phone
Solo 401(k)	Fidelity or Vanguard	fidelity.com / vanguard.com	800-343-3548 / 877-662-7447
Backdoor Roth IRA	Same as Solo 401(k)	fidelity.com / vanguard.com	800-343-3548 / 877-662-7447
Bitcoin DCA	Swan Bitcoin or River	swanbitcoin.com / river.com	Support via website
Hardware Wallet	Ledger or Trezor	ledger.com / trezor.io	Support via website
Colorado 529	CollegeInvest	collegeinvest.org	800-448-2424

Software & Tools

Tool Category	Recommended Solution	Cost	Purpose
Tax Software	TurboTax Home & Business	\$100-\$120	DIY tax filing with Schedule C support
Accounting	QuickBooks Self-Employed	\$15/month	LLC income/expense tracking
Mileage Tracking	MileIQ	\$5.99/month	Automatic GPS mileage logs
Crypto Tax	CoinTracker	\$59-\$179/year	Bitcoin gains/losses for tax reporting
Net Worth Tracking	Personal Capital	Free	Aggregate all accounts, track progress

Appendix C: Glossary of Key Terms

- **Backdoor Roth IRA:** Strategy to contribute to Roth IRA when income exceeds direct contribution limits. Involves making non-deductible Traditional IRA contribution followed by immediate conversion to Roth.
- **Cost Segregation:** Engineering study that accelerates depreciation by reclassifying property components into shorter depreciation periods (5, 7, 15 years vs 27.5 or 39 years).
- **Dollar-Cost Averaging (DCA):** Investment strategy of buying fixed dollar amounts at regular intervals regardless of price, reducing timing risk.
- **QBI Deduction (199A):** Qualified Business Income deduction allowing pass-through entity owners to deduct 20% of business income, permanently extended by OBBBA legislation.

- **REPS (Real Estate Professional Status):** IRS classification requiring 750+ hours in real property trades and >50% of personal services in real estate, allowing passive losses to offset W-2 income.
- **Section 179:** Tax code provision allowing immediate expensing of qualified equipment purchases up to \$1.22M (2025 limit) rather than depreciating over years.
- **Solo 401(k):** Retirement plan for self-employed individuals with no employees (except spouse), allowing both employee (\$23,500) and employer (20-25% of income) contributions.
- **W-4 Optimization:** Adjusting paycheck withholding to match actual tax liability, preventing over-withholding and improving monthly cash flow.

Important Disclosures

Tax & Legal Considerations: This wealth plan provides educational information and strategic recommendations based on current tax law as of December 2025. Tax laws change frequently, and individual circumstances vary. Implementation should be coordinated with qualified tax professional (CPA or EA) familiar with your complete financial situation. Certain strategies involve complex compliance requirements, and improper implementation can result in denied deductions or penalties.

Investment Disclosures: Bitcoin and cryptocurrency investments involve substantial volatility and risk of loss. Historical performance does not guarantee future results. Bitcoin's price can fluctuate dramatically—50-80% drawdowns have occurred historically. Only invest capital you can hold for 5-10+ years and afford to lose without impacting financial security. Diversification across multiple asset classes (retirement accounts, emergency fund, real estate) mitigates concentration risk.

Projection Limitations: All financial projections in this plan are hypothetical illustrations based on assumed rates of return (Bitcoin 25% CAGR, stocks 10% CAGR). Actual results will differ—potentially significantly—based on market conditions, economic factors, policy changes, and individual implementation. Conservative scenarios use below-historical-average returns to provide margin of safety.

Strategy Implementation: Success requires disciplined execution and ongoing maintenance. Strategies are not "set it and forget it"—annual documentation, contribution adjustments, and compliance monitoring are necessary. Failure to maintain proper records can result in lost deductions in IRS examination.

Professional Guidance: While this plan provides detailed implementation instructions, hiring qualified professionals (CPA, financial advisor, attorney) as your wealth grows protects against errors and optimizes long-term results. The cost of

professional guidance is typically recovered many times over through tax savings and investment optimization.

Comprehensive Wealth Plan

Prepared for Jeanette & Ryan Bozek | December 2025

This plan represents a strategic roadmap for tax optimization and wealth accumulation over the next 5-10 years.

Questions or clarifications? Review the Action Plan Summary (Section 10) and begin with Week 1 priorities.